

Financial Analysis

Revenue Trends

Nokia reported modest year-over-year revenue growth, with net sales increasing from €4.39B to €4.50B (~2.4%)

Profitability

Profitability improved significantly:

- Gross profit increased from €1.82B to €1.99B
- Operating profit improved from a loss of €21M to a profit of €62M
- Net income improved from a loss of €60M to a profit of €87M

This suggests improving operational efficiency and cost management

Cash Flow

Nokia generated €783M in operating cash flow during Q1'26, compared to €890M in Q1'25. While the company remained strongly cash generative, operating cash flow declined year-over-year, partially due to less favorable working capital movements relative to the prior-year period. Despite weaker cash conversion, Nokia continues to demonstrate the ability to generate meaningful operating cash flow, supporting liquidity and shareholder returns.

Balance Sheet

Nokia's balance sheet strengthened year-over-year despite a modest decline in total assets. Total assets decreased from €39.3B to €37.3B, primarily driven by lower cash balances, reduced financial investments, and declining intangible assets. However, total liabilities declined more significantly, falling from €18.4B to €16.0B. A particularly notable improvement was the sharp reduction in short-term interest-bearing liabilities, which declined from €1.88B to just €40M, indicating meaningful deleveraging and reduced near-term refinancing risk. Meanwhile, total shareholders' equity increased from €20.8B to €21.3B, supported by improved profitability and a stronger overall liability profile.

Liquidity remains healthy, with current assets of €15.0B exceeding current liabilities of €9.6B, suggesting Nokia maintains solid short-term financial flexibility. Overall, the balance sheet reflects a company focused on financial discipline and operational stabilization rather than aggressive expansion. While cash levels declined modestly and growth investment appears limited, Nokia's balance sheet remains relatively strong and supportive of ongoing restructuring, shareholder returns, and future operational flexibility.

Segment Performance

Nokia's segment performance in Q1 2026 reflects a company gradually transitioning away from reliance on traditional telecom infrastructure toward higher-growth and higher-margin areas such as AI-driven networking, cloud infrastructure, software, and licensing. Performance across segments was mixed, but overall trends point toward improving business quality and stronger operational execution.

Network Infrastructure:

Network Infrastructure was the strongest-performing segment during the quarter and remains Nokia's primary growth engine. Net sales increased to approximately €1.83B, supported by strong demand in Optical Networks and IP Networks. Optical Networks was the standout contributor, benefiting from accelerating AI datacenter investment, hyperscaler demand, and cloud infrastructure expansion. The segment also benefited from contributions related to the Infinera acquisition and increased demand for high-capacity networking solutions.

Importantly, operating margin improved despite elevated investment activity. This suggests:

- Improving product mix
- Stronger operating leverage
- Better pricing dynamics in AI-related infrastructure markets

The segment's improving profitability appears driven less by short-term cost cutting and more by structurally higher-quality revenue sources. AI and cloud-related infrastructure products generally command better margins than legacy telecom hardware due to their performance-critical nature and stronger demand environment. Overall, Network Infrastructure appears to be evolving into Nokia's highest-quality segment and a potentially important long-term earnings driver.

Mobile Infrastructure:

Mobile Infrastructure delivered more stable but slower growth. Net sales grew modestly, supported primarily by Core Software and Technology Standards. Radio Networks remained relatively flat, reflecting continued weakness in global telecom operator spending and slower 5G deployment cycles.

Despite limited top-line growth, segment profitability improved meaningfully:

- Operating margins expanded
- Indicating stronger cost discipline
- Improved execution
- greater contribution from software and licensing-related revenues

The stabilization in Radio Networks is important strategically because this business has faced multiple years of pricing pressure and reduced carrier capex. While growth remains limited, the absence of significant deterioration may indicate that industry conditions are beginning to normalize. Additionally, the Technology Standards business continues to provide attractive high-margin licensing revenue, which supports earnings quality and cash generation. Overall, Mobile Infrastructure appears to be transitioning from a cyclical drag toward a more stable cash-generating segment.

Cloud and Network Services / Portfolio Businesses:

The smaller portfolio-oriented businesses showed early signs of operational improvement:

- Revenue growth remained modest
- Operating losses narrowed materially

The findings suggest ongoing restructuring and portfolio optimization efforts are beginning to improve efficiency.

Management appears focused on:

- Reducing exposure to lower-return operations
- Improving enterprise-focused offerings
- Simplifying the business mix

Although these segments are not currently major growth drivers, improving profitability trends suggest they may become less of a burden on consolidated earnings over time.

The quarter highlights a growing divergence between Nokia's legacy telecom exposure and its emerging higher-growth infrastructure businesses.

Key themes include:

- AI and cloud infrastructure becoming increasingly important revenue contributors
- Improving margin profile driven by software, optical networking, and licensing
- Stabilization in historically weaker telecom-related businesses

Nokia's segment mix is gradually improving:

- Legacy carrier hardware businesses remain mature and cyclical
- AI networking, software, and licensing businesses offer stronger secular growth and higher profitability potential

This shift is important because it may support:

- Higher long-term operating margins
- Stronger free cash flow generation
- Improved valuation quality relative to traditional telecom equipment peers